

Strong Quarter; Well positioned for future credit cycles

ICICI Bank's numbers were above our estimates on the profitability front mainly due to lower provisions (Credit Cost stood at 1% vs 1.6% YoY/ 1.4% QoQ), stable margin (NIM at 3.96% vs 3.67% YoY/4% QoQ) and better loan growth (16.4% YoY/6.4% QoQ).

- **NII came in at Rs 122.36 Bn**, 4.7% QoQ / 23.4% YoY and 2% above our est.
- **Other Income came in at Rs 49.87 Bn**, 4% QoQ / 6.4% YoY and 1% below our est.
- **PPOP came in at Rs 101.48 Bn**, 2.4% QoQ / 15.1% YoY and 1% below our est.
- **Provisions came in at Rs 20.07 Bn**, -26% QoQ / -26.8% YoY and 31% below our est.
- **PAT came in at Rs 61.94 Bn**, 12.4% QoQ / 25.4% YoY and 12% above our est.
- **EPS stood at Rs 8.93 vs INR 7.95 / INR 7.16 in Q2FY22 / Q3FY21 respectively**

Financial Highlights

- Bank's asset quality improved during the quarter, with GNPA's sequentially down by 69 bps at 4.13% and NNPA's down by 14 bps to 0.85%. During Q3FY22, Bank is able to contain slippages at Rs 40.18 Bn (0.5% of loans) vs Rs 55.78 Bn (0.7% of loans) QoQ. Furthermore, Bank maintained a strong PCR ratio of 80.2% and contingent provision of Rs 64.25 Bn (~0.8% of loans) as of Dec 31, 2021.
- With improving collection efficiency, drop in the overdue portfolio and sturdy provisioning buffer (covid buffer still at 80bp), we believe the bank is ready for any potential hiccups on asset quality. We believe credit cost will remain relatively stable in upcoming quarters.
- Bank's advances stood at Rs 8140 Bn (16.4% YoY/6.4% QoQ), mainly led by retail segment (18.6% YoY/weightage 61.3%), Business banking segment (38.5% YoY/ weightage 5.9%) and SME segment (34% YoY/ weightage 4.4%). Bank's retail portfolio is largely secured and built on proprietary data and analytics in addition to bureau checks and well-priced in relation to risk. Corporate segment also showed good growth (12.5% YoY/ weightage 23.4%). In this segment, the bank focuses on granular exposures and higher rated corporates; provides a full suite of banking products to corporate clients and their ecosystems. Overseas book de-grew by 5.5% YoY (weightage 5%).

Financial Summary

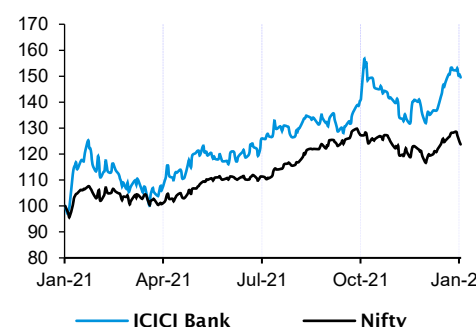
Y/E Mar (Rs Bn)	FY20	FY21E	FY22E	FY23E
NII	333	390	472	553
PAT	79	162	222	267
Net worth	1165	1475	1653	1864
EPS (Rs)	12	23	32	39
Adj BVPS (Rs)	164	200	223	253
P/E (x)	66	34	25	21
P/Adj BV (x)	4.9	4.0	3.6	3.2
RoA (%)	0.8	1.4	1.7	1.8
RoE (%)	7	12	14	15

Source: Dalal & Broacha Research, Company

Rating	TP (Rs)	Up/Dn (%)
BUY	974	21

Market data

Current price	Rs	805
Market Cap (Rs.Bn)	(Rs Bn)	5587
Market Cap (US\$ Mn)	(US\$ Mn)	75074
Face Value	Rs	2
52 Weeks High/Low	Rs	860/512
Average Daily Volume	('000)	11410
BSE Code		532174
Bloomberg		ICICIB:IN
Source: Bloomberg		

One Year Performance


Source: Bloomberg

% Shareholding	Dec-21	Sep-21
FII	45.3	47.3
DII	44.0	42.7
Others	10.7	10.0
Total	100	100

Source: BSE

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- On the liability side, deposits grew by 16.4% YoY/4.1% QoQ in Q3FY22 led by CASA growth of 21.6% YoY/6.6% QoQ taking CASA ratio at 47.2% (Vs 46.1% YoY). Bank's capital adequacy ratio stood at 17.91% (vs 18.33% QoQ), of which Tier I capital was 16.93% (vs 17.34% QoQ) and Tier II capital was 0.98% (vs 0.99% QoQ).
- Bank's margin remains stable (NIM at 3.96% vs 4% QoQ). The sequential decline in margin during the quarter was mainly due to decline in the yield on advances (8.19% vs 8.34% QoQ), partly offset by decline in cost of deposits (3.47% vs 3.53% QoQ) and higher interest on income tax refund (6 bps vs 1 bps QoQ).
- Restructured loans (under all dispensations, ex-NPA) stood at Rs96.84bn (1.2% of loans). Out of this, Rs 64.74 Bn came from the retail & business banking portfolio and Rs 32.10 Bn came from the corporate & SME portfolio. Bank holds provisions of Rs 24.36 Bn against these borrowers, which is higher than the requirement as per RBI guidelines. Over 95% of the loans under resolution in the retail and business banking portfolio are secured loans
- Operational efficiency remained stable, with cost to income ratio stood at 41.1% (+121 bps QoQ), backed by lower net income (NII + other income) growth of 4.5% QoQ vs opex growth of 7.6% QoQ.
- Operational expenses grew by 22.4% YoY/7.6% QoQ to Rs 70.75 Bn in Q3FY22. Out of this, employees expenses up by 27.4% YoY/4.2% QoQ, mainly due to fair valuation of ESOPs granted to all employees. The employee count has increased by ~ 9,900 in the last 12 months.
- Non-employee expenses up by 19.9% YoY/9.6% QoQ due to promotional and advertising related expenses as well as technology related expenses.

Deposits grew by 16.4% YoY/4.1% QoQ in Q3FY22 led by CASA growth of 21.6% YoY/6.6% QoQ taking CASA ratio at 47.2% (Vs 46.1% YoY).

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Valuation and outlook

ICICI Bank is navigating well through a challenging macro environment, with a strong focus on target market segments and risk-adjusted returns. We believe that Bank will remain a long-term beneficiary of the consolidation theme playing out in the domestic financial market thanks to its superior liability franchise. We take comfort from its tier-1 capital (16.9%) and Covid-19 related provisions (Rs 64.25 Bn), which provide an additional buffer to cushion any adverse effect of sudden spikes in slippages. At CMP, stock trades at 3.6x its FY22E ABV and 3.2x its FY23E ABV. We assign a 'BUY' rating on ICICI Bank with a price target of Rs 974, valuing the stock at 3.3x FY23E standalone P/ABV and ascribing a value of Rs 141 for subsidiaries.

Highlights of the Conference Call

Philosophy of business

- Bank aims to create holistic value propositions for its customers through its 360-degree customer-centric approach and focus on opportunities across client and segment ecosystems.
- Its cross functional teams seek to tap into key customer and market segments, enabling 360-degree coverage of customers and increase in wallet share.
- Bank aims to steadily grow its business within its strategic framework and strengthen its franchise, delivery, and servicing capabilities, backed by a range of digital initiatives.

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Asset Quality

- GNPA additions stood at Rs 40.18 Bn; Out of which, retail & business banking portfolio constitutes Rs 38.53 Bn and the corporate & SME portfolio constitutes Rs 1.65 Bn.
- GNPA additions of ~ Rs 6.14 Bn came from the kisan credit card portfolio, which typically exhibits higher NPA addition in the first and third quarter of a fiscal year.
- Recoveries and upgrades amounted to Rs 42.09 Bn for Q3FY22, implying net NPA deletions of Rs 1.91 Bn for the quarter. There has been a lot of work done on pre-delinquency management leading to healthy recoveries.

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Restructuring Portfolio

- The total fund based outstanding to all standard borrowers, under resolution as per various guidelines stood at Rs 96.84 Bn (~1.2% of total loan portfolio).
- Of the total fund based outstanding, Rs 64.74 Bn came from the retail & business banking portfolio and Rs 32.10 Bn came from the corporate & SME portfolio.
- Bank holds provisions of Rs 24.36 Bn against these borrowers, which is higher than the requirement as per RBI guidelines.
- Over 95% of the loans under resolution in the retail and business banking portfolio are secured loans.

The total fund based outstanding to all standard borrowers, under resolution as per various guidelines stood at Rs 96.84 Bn (~1.2% of total loan portfolio).

BB & Below book

- The loan outstanding to performing corporate and SME borrowers rated BB & below stood at Rs 118.42 Bn in Q3FY22. This includes Rs 27.97 Bn of loans under resolution.
- Other than three accounts, one each in construction, power and telecom sectors, the maximum single borrower outstanding in the BB & below portfolio was less than Rs 6 Bn.
- Bank held provisions of Rs 15.75 Bn on the BB & below portfolio vs to Rs 9.60 Bn QoQ.

The loan outstanding to performing corporate and SME borrowers rated BB & below stood at Rs 118.42 Bn in Q3FY22

Builder Portfolio

- The builder portfolio including construction finance, lease rental discounting, term loans and working capital loans stood at Rs 257.53 Bn (3% of total loan portfolio), up by 12.8% YoY.
- This portfolio is granular in nature with the larger exposures being to well-established builders and this is also reflected in the sequential increase in the portfolio.
- ~ 11% of builder portfolio in Q3FY22 was either rated BB and below internally or was classified as non-performing, compared to 13% in Q3FY21.

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NBFCs and HFCs Portfolio

- The total outstanding to NBFCs & HFCs stood at Rs 675.86 Bn (7% of total loan portfolio), up by 11.7%.
- The sequential increase in the outstanding to NBFCs and HFCs is mainly due to disbursements to PSU entities, entities having long vintage and owned by banks and well-established corporate groups.
- The proportion of the NBFC and HFC portfolio internally rated BB and below or non-performing is less than 0.4% as of December 31, 2021.

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P&L related highlights

- The sequential decline in NIM (3.96% vs 4% QoQ) was mainly due to decline in yield on advances, partly offset by decline in cost of deposits and higher interest on income tax refund.
- The impact of interest on income tax refund on NIM was 6 bps, vs 1 bps QoQ and 7 bps YoY.
- Out of the total domestic loans, 38% portfolio linked to repo rate and 7% to other external benchmarks.
- Employee expenses in Q3 include an impact of ~ Rs 0.69 Bn due to the fair valuation of ESOPs granted to all employees. The employee count has increased by about 9,900 in the last 12 months to ~102,000 as of December 31, 2021.
- Non-employee expenses increased due to promotional & advertising related expenses as well as technology related expenses. The technology expenses were ~8.4% of total operating expenses in 9M FY22.

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Leveraging digital across its business

- Digital platforms are continuously evolving with the objective of creating end-to-end seamless digital journeys, offering personalised solutions and value-added features to customers and enabling more effective data-driven cross-sell and up-sell.
- There have been 5.3 Mn activations of iMobile Pay by non-ICICI Bank account holders as of end-December.
- The value of transactions by non-ICICI Bank account holders grew by 73% QoQ in Q3FY22.
- The value of credit card spends in Q3-2022 was 2.2 times the value of credit card spends in Q3FY21 and grew by 27% sequentially.
- Bank's ~ 33% of mortgage sanctions and ~43% of personal loan disbursements, by volume, were end-to-end digital in 9MFY22.
- ~95% of the overdraft facilities set up for business banking current account customers were end-to-end digital in 9MFY22.

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Financials

Financials (Rs Bn)	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	YoY	QoQ
Interest Earned	197.3	198.4	203.8	212.3	220.8	11.9%	4.0%
Interest Expended	98.2	94.1	94.5	95.4	98.5	0.3%	3.2%
NII	99.1	104.3	109.4	116.9	122.4	23.4%	4.7%
Other Income	46.9	41.1	40.0	48.0	49.9	6.4%	4.0%
Net Income	146.0	145.4	149.3	164.9	172.2	18.0%	4.5%
Opex	57.8	60.0	60.4	65.7	70.7	22.4%	7.6%
PPOP	88.2	85.4	88.9	99.1	101.5	15.1%	2.4%
Provisions	27.4	28.8	28.5	27.1	20.1	-26.8%	-26.0%
PBT	60.8	56.6	60.4	72.0	81.4	33.9%	13.0%
Tax	11.4	12.5	14.3	16.9	19.5	71.0%	15.2%
PAT	49.4	44.0	46.2	55.1	61.9	25.4%	12.4%
Balance Sheet							
Net-worth	1428	1475	1524	1568	1631	14.2%	4.0%
Deposits	8743	9325	9262	9774	10175	16.4%	4.1%
Advances	6990	7337	7386	7649	8140	16.4%	6.4%
Growth (%)							
Deposits	22.1	21.0	15.5	17.3	16.4	-569 bps	-98 bps
Advances	10.0	13.7	17.0	17.2	16.4	648 bps	-76 bps
Ratios (%)							
GNPA	4.4	5.0	5.2	4.8	4.1	-25 bps	-69 bps
NNPA	0.6	1.1	1.2	1.0	0.9	22 bps	-14 bps
PCR	86.0	77.7	78.3	80.2	80.1	-588 bps	-12 bps
CET1	15.3	16.8	16.4	16.1	15.8	45 bps	-38 bps
CAR	18.0	19.1	18.7	18.3	17.9	-13 bps	-43 bps
Cost/Income	39.6	41.3	40.4	39.9	41.1	149 bps	121 bps
CD Ratio	79.9	78.7	79.7	78.3	80.0	5 bps	174 bps
Loan Mix (%)							
Domestic book	93.8	94.9	94.6	94.9	95.0	116 bps	6 bps
Retail	65.6	66.7	67.0	68.3	67.7	205 bps	-64 bps
SME	3.9	4.1	4.0	4.3	4.5	59 bps	13 bps
Corporate	24.3	24.1	23.5	22.3	22.9	-147 bps	57 bps
Overseas book	6.2	5.1	5.4	5.1	5.0	-116 bps	-6 bps

Source: Dalal & Broacha Research, Company

Financial

P&L (Rs Bn)	FY20	FY21	FY22	FY23
Interest income	748	791	881	1053
Interest expense	415	401	409	500
NII	333	390	472	553
Non-interest income	164	190	196	234
Net revenues	497	580	668	786
Operating expenses	216	216	262	305
PPOP	281	364	406	481
Provisions	141	162	109	124
PBT	140	202	297	358
Tax	61	40	75	90
PAT	79	162	222	267

Balance sheet	FY20	FY21	FY22	FY23
Share capital	13	14	14	14
Reserves & surplus	1152	1461	1639	1851
Net worth	1165	1475	1653	1864
Deposits	7710	9325	10744	12526
Borrowings	1629	916	960	1020
Other liability	480	588	566	577
Total liabilities	10984	12304	13923	15988

Fixed assets	84	89	90	94
Investments	2495	2813	3267	3793
Loans	6453	7337	8566	10093
Cash	1192	1331	1188	1179
Other assets	760	734	812	828
Total assets	10984	12304	13923	15988

Ratios	FY20	FY21	FY22	FY23
Growth (%)				
NII	23.1	17.2	21.1	17.1
PPOP	19.9	29.5	11.5	18.6
PAT	136	104	37.4	20.2
Advances	10.0	13.7	16.7	17.8
Deposits	18.1	21.0	15.2	16.6

Spread (%)				
Yield on Funds	7.9	7.3	7.2	7.5
Cost of Funds	4.7	4.1	3.7	4.0
Spread	3.2	3.2	3.5	3.5
NIM	3.5	3.6	3.9	3.9

Asset quality (%)				
Gross NPAs	6.1	5.4	4.6	3.8
Net NPAs	1.6	1.3	1.2	1.1
Provisions	76	78	74	72

Return ratios (%)				
RoE	7.1	12.3	14.2	15.2
RoA	0.8	1.4	1.7	1.8

Per share (Rs)				
EPS	12	23	32	39
BV	180	213	238	269
ABV	164	200	223	253

Valuation (x)				
P/E	65.7	34.4	25.1	20.9
P/BV	4.5	3.8	3.4	3.0
P/ABV	4.9	4.0	3.6	3.2

Source: Dalal & Broacha Research, Company

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